ISA320 – Materiality in Planning & Performing the Audit



Learning Objectives

You must be able to:

- Discuss all the relevant **factors** to take into account whilst calculating Planning and Performance Materiality
- Calculate, with reasons, the Planning & Performance Materiality
- Understand and Explain what "Clearly Trivial" means
- Critically evaluate a Materiality calculation (done in working paper sometimes) done by someone else in terms of ISA320.

Planning - Overall



Planning – Assertion Level

Identify Material (Quantitative & Qualitative) accounts

Assess RMM for trx, acc balance and disclosures (Risk = HML) ASSERTIONS

Identify internal controls (significant/key) that **address the risks** at assertion level

OVERALL AUDIT PLAN for specific account – Combined/Substantive

DETAILED AUDIT PLAN for specific account (AUDIT PROGRAM)

Terms

- **Materiality**
  - Information is material if its omission or misstatement could influence the **economic decisions** of users taken on the basis of the financial statements
  - Professional Judgement (Differ from one client to the next and from auditor to auditor)
- **Clearly Trivial**
  - Misstatement detected throughout the audit that cumulatively with other identified misstatements, will never be significant enough in their own right so will not effect the decisions taken by the users of the financial statements.
  - Fixed percentage used based on planning materiality. (3-5% of materiality in practice)
  - If amount is R1000, any misstatement below this amount (R860) can be ignored and do not need to be moved to the "Schedule of audit differences:
  - If amount is R1560, then you will move it to the schedule for later consideration.

Terms: Quantitative vs Qualitative

- **Materiality (Cut-off or Threshold)**
  - Information is material if its omission or misstatement could influence the **economic decisions** of users (as a total group – not individual groups) taken on the basis of the financial statements

- **Quantitative Material**
  - Due to the **AMOUNT** (SIZE) of the misstatement

- **Qualitative Material**
  - Due to the **nature** (TYPE) of misstatement.

Introduction

The goal of this step is to determine the **level** of misstatement that will be **acceptable to the users** of the AFS.

This figure will be calculated only after you have assessed the risk of material misstatement and have set the detection risk.

Why do we need these figures?



STAGES IN THE AUDIT PROCESS

Planning

- **Calculate Planning & Performance Materiality (Provisional figures)**
- Identify Significant accounts/classes of trx to plan in detail (Audit plan)
- Audit Sampling (Response = Extent of Audit Procedures)

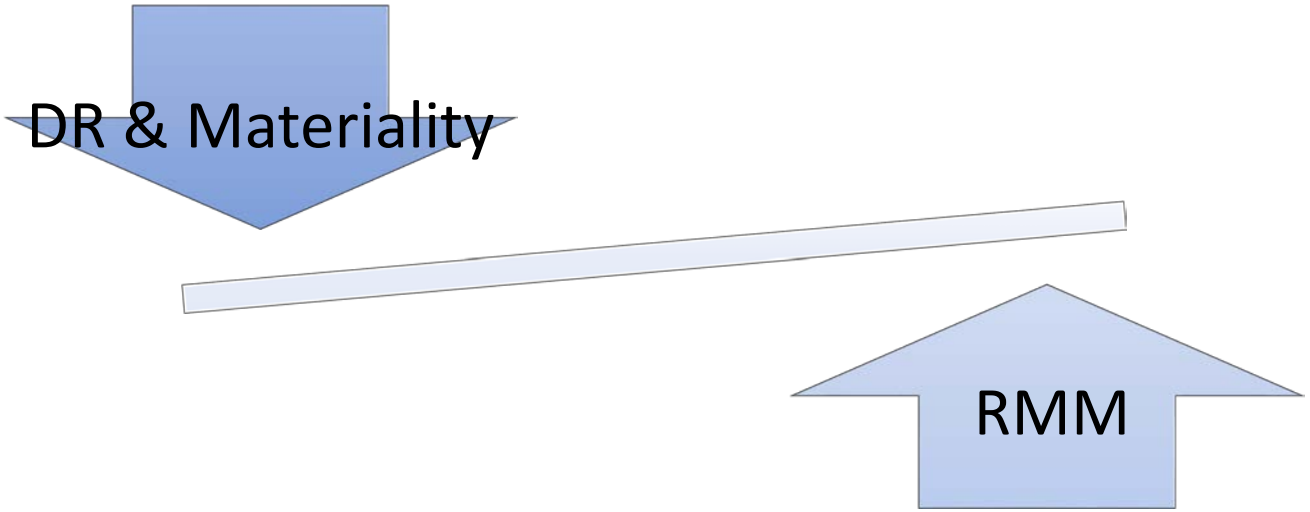
Obtaining audit evidence

- **Use Performance Materiality (Calculated while planning)**
- Sampling (The number of items to select – Selecting specific ones)

Completion

- **Calculate FINAL Materiality – Based on Actual Audited figures (after adjustments)**
- Measure the effect of audit differences and misstatements against.

Relationship between Materiality and RMM



INVERSE RELATIONSHIP BETWEEN MATERIALITY AND RISK

If RMM is **HIGH** – Detection Risk is set at **LOW** and Materiality must be set at **LOW**

If RMM is **LOW** – Detection Risk is set at **HIGH** and Materiality will also be set at **HIGH**

BENCHMARKS IN PRACTICE

Benchmark	Lower	TO	Higher
Income Statement			
Turnover	0.5%	-	1.0%
Gross Profit	**1.0%**	**-**	**2.0%**
Profit **before** tax	5.0%	-	10.0%
Balance Sheet			
Total Assets	**1.0%**	**-**	**2.0%**
Equity	2.0%	-	5.0%

Based on Discussion Paper 6 (DP6)

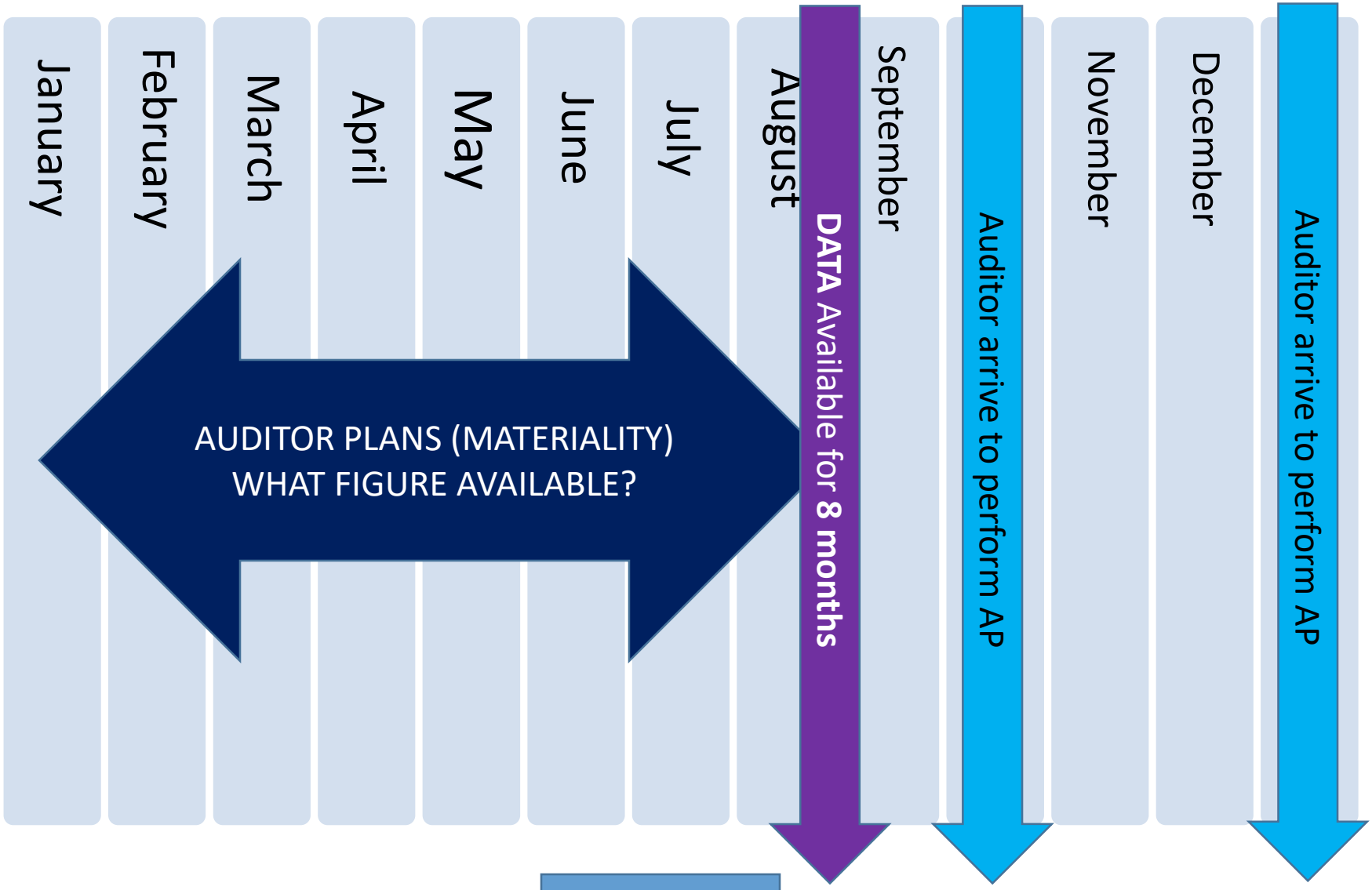
If the question gives you other Benchmarks, you must ignore these and use those given in the Scenario.

Setting Materiality in Planning

Levels at which Materiality is determined:

- **Financial statements as a whole (Planning Materiality)**
  - Determined as part of the audit strategy – Materiality figure for the audit as a whole
- **Performance Materiality**
  - Materiality figure that is LOWER than that of the audit – applicable to a specific class of transaction/account balance
  - Ensures that items that are not material individually, may be material in aggregate.

BACKGROUND


January
February
March
April
May
June
July
August
September
November
December
AUDITOR PLANS (MATERIALITY)
WHAT FIGURE AVAILABLE?
DATA Available for 8 months
Auditor arrive to perform AP
Auditor arrive to perform AP

Steps – Calculation of Planning Materiality

Step 1

Selecting the Financial Data (Only one) – ISA320.A5:

Step 2

Selecting the elements of the financial statements – ISA320.A3

Step 3

Volatile?

Step 4

Calculation and selecting of Ranges

Step 5

Selecting a Materiality Figure

Step 6 (If asked)

Select the Performance Materiality Figure / Clearly Trivial

***PLEASE NOTE:* Although these steps seem very easy to follow, the calculation is still based on Professional Judgment based on the circumstances of your audit client. / Steps' sequence may also differ between memoranda.**

STEP 1: Financial Data to use?

Choose a set of Financial Data that must be used.

- **You should only select 1 set of Financial data.**
- **Your options (based on the scenario) includes (ISA320.A5):**
  - **Actual prior period's financial results and financial positions (More reliable as it has been Audited – May not indicate current level of trading performance)**
  - **Actual current periods financial results and positions (Unaudited, but better reflects the current years results of operation – May contain material misstatements – User may be interested)**
  - **Part of the Actual current periods financial results and positions (Unaudited) & Adjusted (The budget should be achievable)**
  - **Prior years figures ADJUSTED to show current years picture**
  - **Budgets or Forecasts for the Current period (Adjusted for significant changes in the circumstances of the entity) – Current year is not available yet. – Not as reliable as previous year figures but present better picture of current year results.**

STEP 1: Financial Data to use?

Choose a set of Financial Data that must be used.

- **Whichever figure is used, they should simulate the likely current year's results**
- **Abnormalities (once off) in prior year figures (or other figures) should be adjusted**

- **CONCLUSION IN QUESTION**
  - **State clearly which financial data are going to be used (one set)**
  - **State clearly your reason for selection (Elimination of results) – Audited, simulates the current year results the best etc.**

STEP 2: Selecting the BS/IS?

You now know if you are using Prior year actual, current year actual, budget or a variation of these.

Select whether you should use the Income Statement Figures (Income, Gross Profit & Nett Profit before tax from continued operations) or the Balance Sheet Figures (Total assets and Equity). OR BOTH?

- **Will the user group be most interested in the Income Statement or the Balance sheet?**
- **The nature of the entity will influence what the user will be interested in.**

CONSIDER:

The users of the Financial statements &

The nature of the entity

State reason for selection (Focus on users and nature of entity)

STEP 2: Nature of entity (Examples)

- The selection of an appropriate benchmark depends on the specific circumstances of the entity (Focus on users interest):
  - PROFIT BEFORE TAX **(Income statement)** is an appropriate benchmark for profit oriented entities. **Lawyer firms (Service)** – No assets
  - TOTAL REVENUE **(Income statement)** is an appropriate benchmark for companies that do not have a **history of profits / Not for profit entity**
  - TOTAL EXPENSES **(Income statement)** is an appropriate benchmark for a company that has not yet commenced its operations / **Not for profit entity / Department of Education**
  - TOTAL ASSETS **(Balance Sheet)** is an appropriate benchmark for a company that **rents out buildings**. (Ownership structure – lots of debt – Security of the debt is the assets)
  - TOTAL EQUITY **(Balance Sheet)** is an appropriate benchmarks for companies that **are facing capital deficiency**. - Struggling
  - A COMBINATION OF PROFIT BEFORE TAX AND TOTAL ASSETS **(Income statement and Balance sheet)** could be appropriate for a **manufacturing entity.**

BENCHMARKS IN PRACTICE

Benchmark	Reason
Income Statement	
Turnover	Reflect volume of trading activity / good indicator of level of operations across most businesses
Gross Profit	
Operating Profit **before** tax	Not the most stable – not necessarily a measure of trading performance – Return on equity is NB!
Balance Sheet	
Total Assets	Useful in manufacturing environments / useful where "return on assets" are important
Equity	

STEP 3: Volatile/Stable line items?

After you know whether you want to use the Balance sheet Benchmarks or the Income Statement Benchmarks OR a combination of these, you then have to eliminate any Benchmarks that seems to be **Volatile**. (Focusing on Revenue, Gross Profit, Net profit before tax, total assets and equity)

- Perform **analytical procedures** to identify trends that may indicate instability in these figures.
- (Operating) Net Profit are usually a focus area of most users BUT this may be very unstable (Revenue and Total Assets more stable) – Nett Loss cannot be used!

CONCLUDE:

- Reasons why you believe certain sections are Unstable (test it) and move forward. If everything seem stable, state the fact and move on.

STEP 4: Calculation & Ranges

After Selecting the Financial data, the line items and the Benchmarks, you can now calculate the benchmarks and after that select the Range.

Benchmark	Lower	TO	Higher
Income Statement			
Turnover	0.5%	-	1.0%
Gross Profit	1.0%	-	2.0%
Profit before tax	5.0%	-	10.0%
Balance Sheet			
Total Assets	1.0%	-	2.0%
Equity	2.0%	-	5.0%

Do not over think the Range – Select the lowest of the lowest and select the highest of the highest figures. (One set of figure like: The Range is R100 000 to R200 000)

STEP 5: Select figure with Reasons.

Range is R100 000 to R200 000

- **Based on your range selected you must now conclude with ONE final Figure.**

- **<u>Consider the following before selecting your figure (This will be your reasons)</u>**
  - **How sensitive are the user group to misstatements (Will they care???) – Owner-Managers? Or Seperated? Individual investors? – More conservative.**
  - **What is the Detection Risk (RMM?) to Respond to the assessed levels.**

- **Select your Overall Planning Materiality figure (State the amount – R100 000 because……)**

STEP 6: (If required).

PERFORMANCE MATERIALITY (One or more amounts – we will only calculate one figure)

- In terms of ISA320.par 9 – Means the amount or amounts set by the auditor at **LESS THAN MATERIALITY** for the financial statements as a whole to reduce to an appropriately low level the probability that the AGGREGATE of uncorrected and undetected misstatements exceeds materiality for the AFS as a whole.
- We use this figure when we work with an individual account balance of classes of transactions.
- Therefore, if you selected R100 000 as your overall planning materiality, in essence any amount below R100 000 meets the definition.
- In practice a % is usually used (based on risk) – for example 80% of Planning materiality

ISA320 Reflections

You should be able to **do the Calculation** of Materiality on your own.

Focus should still be given to the standard in a "**discussion**" question or a "**evaluate**" question you must ensure that the following have been taken into account in the question:

ISA320.A3 – Using Benchmarks

Factors that may affect the identification of an appropriate benchmark includes:

- Elements of the Financial statements (Assets, liabilities, equity, revenue, expenses) – Step 2
- Attention of the users – Step 2
- Nature of the entity – Step 2
- Ownership structure and the way the company is financed – Step 2
- Volatility of benchmark – Step 3
- Relevant financial data – Step 1 = ISA320.A5
- Documentation – The amounts and FACTORS taken into account (ISA320.14)

ROOM REFLECTION

QUESTION 1 (12 MARKS)

You are the auditor of Pezula Golf club. The golf club is situated on the Pezula Estate in Mat North. The year end of the golf club is 28 February 2012.

The golf club has about 250 members who pay yearly membership fees, for the privilege of playing golf at special rates on the Pezula golf course. The member fees are calculated with reference to the club's budgeted operating expenses for the following year. The purpose of the golf club is not to make a profit. The golf clubs' assets consist mainly of golf cars that are leased to players.

Key financial information for the Pezula Golf club for the year ending 28 February 2012 is:

	R
Total membership fees received	4 000 000
Other income for the year	2 400 000
Profit for the year	50 000
Non-current assets	3 000 000
Current assets	900 000
Current liabilities	260 000

It is your audit firm's policy to use the BD6 guideline in order to calculate materiality.

You initially estimated the overall audit risk as Low for the audit of Pezula golf course for the year ending 28 February 2012.

REQUIRED:

1.1 State the stages of the audit process where the auditor will make use of materiality, as well as the goal thereof during each stage. (4)

1.2 Calculate the materiality figure for Pezula Golf club – explain completely the approach you following calculating the figure. (8)